

|| VIBHATSA ||

The feeling of disgust and depression...

Compelled to forgo their dream, it's ultimately the prospective homebuyers who have to bear the brunt of ever-rising home loan rates.

LOANING DREAMS

Home loan interest rates are ever-soaring. The increase in property prices is equally nipping, thereby making many prospective homebuyers delay their decisions.

On the one hand, rising interest rates have had an impact, on the other, real estate prices have been escalating in a never-before rate in recent years. This is quite likely to result in a slowdown, which would be a forerunner for a price correction and more stability for genuine buyers. We are clearly headed towards an upward pressure in interest rates. Leading home loan players have raised their interest rates by half a per cent, and several others are reviewing the situation.

According to the Reserve Bank of India, home loans had grown by over 54 per cent on June 30, 2006, from a year earlier to Rs 1,71,917 crore. Retail loans, which grew by over 40 per cent in 2004-05 and again in 2005-06, have been the prime driver of credit growth in recent years.

Market experts are of the opinion that the combined impact of the runaway increase in the property prices and the sky-rocketing home loan rates are clearly leading to a hold back in demand in the residential segment. Affordability is a big issue with the increase in interest rates and the huge rise in property prices. It is affecting one and all and is a precursor for a correction in prices.

The period from January to March is supposed to be the busiest season for property purchase. If this quarter does not do well, the real estate business is likely to be put on the brakes. This is healthy, as no market needs to go up continuously. The hike in both property and interest rates would mean reduced buying capacity. The buyer would have to contend with reduced eligibility, that would mean that he has to raise his own resources for the purchase. Higher EMIs, longer tenure repayments would be the order of the day.

The Reserve Bank of India has, through various initiatives, clamped down on the liquidity in the banking sector to

differentiate between loans to real estate and other sectors, thus making it more expensive to borrow. It has, through increased risk weightage, sought to reduce the leveraged demand for real estate, making it costlier for the investor to invest and thus help cool off the market.

It is hoped that once the economy starts booming and there is an overall demand from all sectors, interest rates are bound to rise. In the last one year, the interest rates have gone up by almost 2.5 per cent while the rise in property prices has been much faster at 100 per cent. This affects the buyer all the more.



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